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Tesla Inc | North America

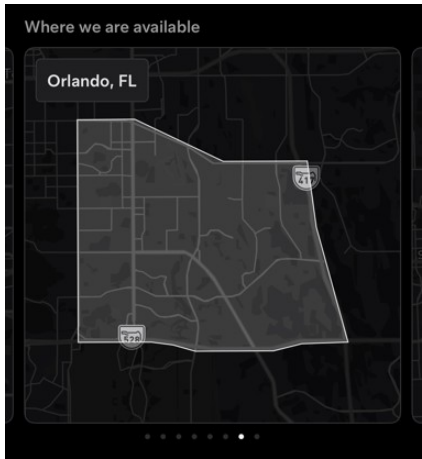
Rolling Through the Sunshine State

Tesla announced the launch of Robotaxi in Orlando and Tampa this morning.

Tesla launched Robotaxi in two more Florida cities (reportedly including unsupervised Model Ys) on Tuesday, July 21st. Orlando and Tampa both were listed as "preparations underway" in the 1Q26 slide deck, along with Miami (launched), Phoenix (not yet launched), and Las Vegas (not yet launched).

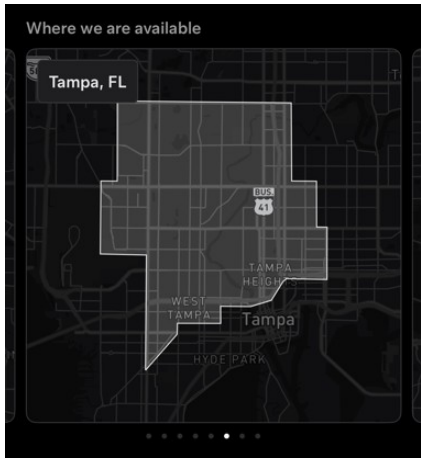
Robotaxi is a key focus area for investors, and a meaningful update tomorrow is one of only a handful of catalysts that can drive shares higher (see our [2Q preview](#)). We expect Tesla to launch in all of these metro areas by year-end and expect it to **add additional cities to its list of planned robotaxi coverage with earnings tomorrow**. In our [report](#) following the Miami launch, we mentioned sightings of presumed robotaxi test vehicles in New Orleans (not confirmed by the company), which was not one of the cities listed as being in the preparation stage in the last earnings presentation. While bears may point to a lack of growth in unsupervised fleet size, limited data transparency, or a small service area for Orlando and Tampa launches, we believe this news will be well received by the market after what had felt like a deceleration with the [Robotaxi Tracker](#) reflecting a decline in active vehicles in fleet since late April (although this data is not validated by the company). We are watching for an update tomorrow on Cybercab production and robotaxi rollout.

Exhibit 1: Orlando Service Area



Source: Company Data

Exhibit 2: Tampa Service Area



Source: Company Data

Early Signals from Austin. We wrote last month that our Alphawise data showed increased hiring in northern metro areas for 'AI Safety Operators' - a sign that Tesla is gearing up to expand robotaxi operations, along with FSD usage continuing to accelerate, reaching 10bn cumulative miles traveled in early May. We also built out a tracker normalizing NHTSA data from the Austin fleet, which reflected significant improvement in miles/accident since launch. With Tesla's approach to autonomy still

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Tesla Inc (TSLA.O, TSLA US)	
Autos & Shared Mobility United States of America	
Stock Rating	Equal-weight
Industry View	In-Line
Price target	\$417.00
Shr price, close (Jul 20, 2026)	\$369.57
Mkt cap, curr (mm)	\$1,307,539
52-Week Range	\$498.83-297.82

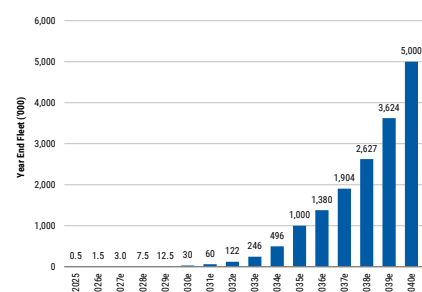
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heavily debated, investors are closely watching rate of change in monthly safety data. Tesla's ability to grow its robotaxi fleet while concurrently improving incident rates (miles between accident) is a key measure that we expect will dominate investors perception of "success" for its robotaxi business. For further reading, see: [Our Guide to Robotaxi Safety Data: Early Signals from Austin](#).

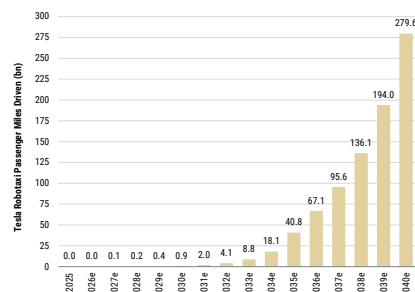
Our expectations. We forecast 1,500 robotaxis (supervised + unsupervised) in the fleet by year-end, ramping to 30,000 by 2030. While the absolute number of robotaxis is likely immaterial to earnings this year, the rate of change in the rollout provides more clarity for investors who may be skeptical about Tesla's autonomous technology at scale. See here for further reading: [Unlocking the Robotaxi Flywheel](#).

Exhibit 3: TSLA Robotaxi Fleet Size ('000)



Source: Morgan Stanley Research estimates

Exhibit 4: TSLA Robotaxi Passenger Miles (bn)



Source: Morgan Stanley Research estimates

Tesla reports 2Q results on Wednesday, July 22.

For further reading:

- [Tesla Inc: 2Q26 Preview: Show Us the Bots \(13 Jul 2026\)](#)
- [Tesla Inc: Our Guide to Robotaxi Safety Data: Early Signals from Austin \(27 May 2026\)](#)
- [Tesla Inc: Laying the Foundation \(23 Apr 2026\)](#)
- [Tesla Inc: Robotaxi Flywheel Starts to Spin: Tesla Expands to Houston and Dallas \(20 Apr 2026\)](#)
- [Tesla Inc: Unlocking the Robotaxi Flywheel \(18 Mar 2026\)](#)
- [Tesla Inc: Beyond the Wheel – Mapping Tesla's Journey into Physical AI \(07 Dec 2025\)](#)
- [Internet: Approaching an Autonomous Inflection Point \(07 Dec 2025\)](#)

Valuation Methodology and Risks

Tesla Inc (TSLA.O)

Our PT of \$417 is comprised of 5 components: **(1)** \$47/share for core Tesla Auto business on ~8.5mm units in 2040, 9.7% exit EBIT margin (ex-FSD), 10.9% WACC, and 10x 2040 exit EBITDA multiple. **(2)** Network Services at \$146/share, 80% attach rate at \$240/month ARPU by 2040 **(3)** Tesla Mobility at \$125/share on DCF with ~5mn cars at ~\$1.33/mile by 2040. **(4)** Energy at \$40/share, and **(5)** Humanoids at \$60/share (50% probability discount).

Risks to Upside

- Increased FSD attach rate / unsupervised FSD
- Cost milestones on new battery
- New model intro (Roadster, multivan)
- Robotaxi rollout
- Optimus announcement

Risks to Downside

- Competition: legacy OEMs/Chinese players/big tech in Autos and Robotics
- Execution risk across robotaxi/FSD/humanoid
- Regulatory
- China risk
- Dilution
- Valuation

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(as of June 30, 2026)

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	Count	% of Total	Count	% of Total IBC	% of Rating Category	Count	% of Total Other MISC
Overweight/Buy	1544	42%	453	49%	29%	757	44%
Equal-weight/Hold	1577	43%	390	42%	25%	769	44%
Not-Rated/Hold	3	0%	1	0%	33%	1	0%
Underweight/Sell	544	15%	89	10%	16%	204	12%
Total	3,668		933			1731	

Data include common stock and ADRs currently assigned ratings. Investment Banking Clients are companies from whom Morgan Stanley received investment banking compensation in the last 12 months. Due to rounding off of decimals, the percentages provided in the "% of total" column may not add up to exactly 100 percent.

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Stock Price, Price Target and Rating History (See Rating Definitions)

Tesla Inc (TSLA.0) - As of 07/21/26 GMT in USD
Industry : Autos & Shared Mobility



Stock Rating History: 7/1/21 : O/I; 6/22/23 : E/I; 9/10/23 : O/I; 3/13/24 : O/A; 9/25/24 : O/I; 12/7/25 : E/I

Price Target History: 4/22/21 : 300; 10/24/21 : 400; 1/10/22 : 433.33; 6/22/22 : 400; 7/14/22 : 383.33; 8/25/22 : 383; 10/10/22 : 350; 10/24/22 : 330; 12/28/22 : 250; 1/25/23 : 220; 4/20/23 : 200; 6/22/23 : 250; 9/10/23 : 400; 10/19/23 : 380; 1/22/24 : 345; 3/5/24 : 320; 4/4/24 : 310; 12/10/24 : 400; 1/13/25 : 430; 3/20/25 : 410; 12/7/25 : 425; 1/29/26 : 415; 7/13/26 : 417

Source: Morgan Stanley Research Date Format : MM/DD/YY Price Target --- No Price Target Assigned (NA)
Stock Price (Not Covered by Current Analyst) — Stock Price (Covered by Current Analyst) —
Stock and Industry Ratings (abbreviations below) appear as ♦ Stock Rating/Industry View
Stock Ratings: Overweight (O) Equal-weight (E) Underweight (U) Not-Rated (NR) No Rating Available (NA)
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INDUSTRY COVERAGE: Autos & Shared Mobility

COMPANY (TICKER)	RATING (AS OF)	PRICE* (07/20/2026)
Andrew S Percoco		
Adient PLC (ADNT.N)	E (12/07/2025)	\$19.65
Aptiv Plc (APTV.N)	O (05/07/2026)	\$57.31
Avis Budget Group Inc (CAR.O)	E (12/07/2025)	\$159.52
BorgWarner Inc. (BWA.N)	E (12/07/2025)	\$61.62
Dauch Corporation (DCH.N)	E (12/07/2025)	\$5.30
Ford Motor Company (F.N)	E (09/25/2024)	\$13.99
General Motors Company (GM.N)	O (12/07/2025)	\$75.80
Hertz Global Holdings Inc (HTZ.O)	E (02/08/2024)	\$1.76
Lear Corporation (LEA.N)	E (12/07/2025)	\$140.16
Lucid Group Inc (LCID.O)	U (12/07/2025)	\$7.11
Magna International Inc. (MGA.N)	E (09/25/2024)	\$66.06
Mobileye Global Inc (MBLY.O)	E (08/02/2024)	\$8.95
Quantumscape Corp (QS.O)	E (12/07/2025)	\$5.89
Rivian Automotive, Inc. (RIVN.O)	U (12/07/2025)	\$17.24
Tesla Inc (TSLA.O)	E (12/07/2025)	\$369.57
Versigent Plc (VGNT.N)	O (05/07/2026)	\$40.02
Visteon Corporation (VC.O)	E (06/01/2022)	\$101.61
Daniela M Haigian		
Asbury Automotive Group Inc (ABG.N)	E (09/25/2024)	\$210.12
AutoNation Inc. (AN.N)	O (09/25/2024)	\$197.91
Carmax Inc (KMX.N)	E (11/10/2025)	\$55.91
Carvana Co (CVNA.N)	O (08/07/2025)	\$64.14
Group 1 Automotive, Inc (GPI.N)	O (09/25/2024)	\$305.95
Lithia Motors Inc. (LAD.N)	E (09/25/2024)	\$325.18
Penske Automotive Group, Inc (PAG.N)	O (09/25/2024)	\$195.50
Sonic Automotive Inc (SAH.N)	E (09/25/2024)	\$96.34
Javier Martinez de Olcoz Cerdan		
Goodyear Tire & Rubber Company (GT.O)	U (09/28/2025)	\$7.24

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* Historical prices are not split adjusted.

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